

Sasini

SASINI PLC

(A Member of the Sameer Group)

ANNOUNCEMENT OF RESULTS FOR THE YEAR ENDED 30th SEPTEMBER 2017 (Audited)

STATEMENT OF PROFIT OR LOSS AND COMPREHENSIVE INCOME	Group 30.09.2017	30.09.2016 Restated Ksh '000	Company 30.09.2017	30.09.2016 Restated Ksh '000
	Ksh '000	Ksh '000	Ksh '000	Ksh '000
Revenue	4,201,195	3,570,629	1,705,553	1,296,513
Gain/ (Losses) arising from changes in fair value of biological assets less cost to sell	81,746	(117,997)	52,388	(33,300)
Results from operating activities	373,181	656,561	248,846	826,335
Finance income	141,864	116,869	72,180	20,307
Finance cost	(11,024)	(13,612)	(10,988)	(5,850)
Profit before tax from operating activities	504,021	759,818	310,038	840,792
Loss of Control	16,900	-	(27,899)	-
Gain (loss) on Disposal of Subsidiary	520,921	759,818	282,139	840,792
Profit before tax	(181,514)	(182,833)	(47,082)	(91,612)
Tax expense	339,407	576,985	235,057	749,180
Profit for the year	339,407	576,985	235,057	749,180
Profit/ (losses) attributable to:				
Non-controlling interest	(6,776)	(10,670)	-	-
Owners of parent	346,183	587,655	235,057	749,180
Profits arising from operating activities.	288,961	670,253	198,385	772,490
Gains / (losses) arising from changes in fair value in biological assets after tax.	57,222	(82,598)	36,672	(23,310)
Earning per share (Kshs) on operating activities	1.27	2.94	0.87	3.39
Earning / (loss) per share (Kshs) on biological assets	0.25	(0.36)	0.16	(0.10)
Earning per share (Kshs)	1.52	2.58	1.03	3.29
Issued and fully paid shares of Kshs 1 each	228,055	228,055	228,055	228,055

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Defined Benefit Reserves Ksh '000	Biological Assets Fair Value Ksh '000	Retained Earnings Ksh '000	Proposed Dividends Ksh '000	Non Controlling Interest Ksh '000	Total Ksh '000
At 1 October 2015 as previously stated	228,055	98,530	7,887,974	50,520	2,702,081	2,144,228	57,014	390,103	13,558,505
Impact of change in accounting policy	-	-	-	-	(2,370,439)	-	-	(43,323)	(2,413,762)
At 1 October 2015 restated	228,055	98,530	7,887,974	50,520	331,642	2,144,228	57,014	346,780	11,144,743
Total comprehensive income for the year	-	-	-	-	-	587,655	-	(10,670)	576,985
Profit for the year	-	-	-	-	-	117,997	-	-	117,997
Fair value losses on biological assets restated	-	-	-	-	(117,997)	-	-	-	-
Remeasurement of post employment benefits net of tax	-	-	-	2,129	-	1,945	-	(184)	1,945
Change in deferred tax rate on revaluation	-	-	(233,268)	-	-	-	-	(8,216)	(241,484)
Revaluation transfer on Disposal	-	-	(20,585)	-	(111,156)	131,741	-	-	-
Deferred tax on disposed items	-	-	(6,556)	-	-	-	-	-	(6,556)
Total comprehensive income for the year	-	-	(260,409)	2,129	(229,153)	837,393	-	(19,070)	330,890
Transactions with owners of the company recorded directly in equity	-	-	-	-	-	6,910	(57,014)	(6,910)	-
Reclassification from non controlling interest	-	-	-	-	-	-	-	-	-
Final dividend for 2015 paid	-	-	-	-	-	(57,014)	-	-	(57,014)
Interim dividend for 2016	-	-	-	-	-	(285,069)	285,069	-	-
Proposed Final 2016 dividend	-	-	-	-	-	(335,173)	228,055	(6,910)	(114,028)
Total distribution to owners of the company	228,055	98,530	7,627,565	52,649	102,489	2,646,448	285,069	320,800	11,361,605
At 30 September 2016 restated	228,055	98,530	7,627,565	52,649	2,684,421	2,619,820	285,069	364,123	13,960,232
Impact of change in accounting policy	-	-	-	-	(2,581,932)	26,628	-	(43,323)	(2,598,627)
At 1 October 2016 restated	228,055	98,530	7,627,565	52,649	102,489	2,646,448	285,069	320,800	11,361,605
Total comprehensive income for the year	-	-	-	-	-	346,183	-	(6,776)	339,407
Profit for the year	-	-	-	-	-	(57,222)	-	-	(57,222)
Fair value losses on biological assets	-	-	-	-	57,222	-	-	-	-
Remeasurement of post employment benefits net of tax	-	-	-	(26,521)	-	-	-	202	(26,319)
Total comprehensive income for the year	-	-	-	(26,521)	57,222	288,961	-	(6,574)	313,088
Transactions with owners of the company recorded directly in equity	-	-	-	-	-	(8,594)	(8,139)	(16,733)	-
Reclassification from non controlling interest	-	-	-	-	-	-	-	-	-
Final dividend for 2016 paid	-	-	-	-	-	(57,014)	-	(285,069)	(342,083)
Interim dividend for 2017 paid	-	-	-	-	-	(171,042)	171,042	-	-
Second interim dividend for 2017 payable	-	-	-	-	-	(236,650)	(114,027)	(8,139)	(358,816)
Total distribution to owners of the company	228,055	98,530	7,627,565	26,128	159,711	2,698,759	171,042	306,087	11,315,877
At 30 September 2017	228,055	98,530	7,627,565	26,128	159,711	2,698,759	171,042	306,087	11,315,877

COMPANY STATEMENT OF CHANGES IN EQUITY

	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Defined Benefit Reserves Ksh '000	Biological Assets Fair Value Ksh '000	Retained Earnings Ksh '000	Proposed Dividends Ksh '000	Non Controlling Interest Ksh '000	Total Ksh '000
At 1 October 2015 as previously stated	228,055	40,594	5,678,118	5,456	1,179,161	629,903	57,014	-	7,818,301
Impact of change in accounting policy	-	-	-	-	(1,098,450)	-	-	-	(1,098,450)
At 1 October 2015 restated	228,055	40,594	5,678,118	5,456	80,711	629,903	57,014	-	6,719,851
Total comprehensive income for the year	-	-	-	-	-	749,180	-	-	749,180
Profit for the year	-	-	-	-	-	23,310	-	-	23,310
Fair value losses on biological assets	-	-	(175,972)	-	(23,310)	-	-	-	(175,972)
Change in Deferred Tax rate on revaluation	-	-	-	-	-	-	-	-	-
Remeasurement of post employment benefits net of tax	-	-	-	(2,809)	-	-	-	-	(2,809)
Revaluation transfer on disposal	-	-	21,853	-	-	(21,853)	-	-	-
Deferred Tax on disposed item	-	-	(6,556)	-	-	-	-	-	(6,556)
Total comprehensive income for the year	-	-	(160,675)	(2,809)	(23,310)	750,637	-	-	563,843
Transactions with owners of the company recorded directly in equity	-	-	-	-	-	(57,014)	(57,014)	-	(114,028)
Final dividend for 2015 paid	-	-	-	-	-	(57,014)	-	-	(114,028)
Interim dividend for 2016 paid	-	-	-	-	-	(285,069)	285,069	-	-
Second Interim dividend payable	-	-	-	-	-	(342,083)	228,055	-	(114,028)
Total distribution to owners of the company	228,055	40,594	5,517,443	2,647	57,401	1,038,457	285,069	-	7,169,666
At 30 September 2016 restated	228,055	40,594	5,517,443	2,647	1,185,294	1,064,947	285,069	-	8,324,049
Impact of change in accounting policy	-	-	-	-	(1,127,893)	(26,490)	-	-	(1,154,383)
At 1 October 2016 restated	228,055	40,594	5,517,443	2,647	57,401	1,038,457	285,069	-	7,169,666
Total comprehensive income for the year	-	-	-	-	-	235,057	-	-	235,057
Profit for the year	-	-	-	-	-	(36,672)	-	-	(36,672)
Fair value gain on biological assets	-	-	-	1,693	36,672	-	-	-	1,693
Remeasurement of post employment benefits net of tax	-	-	-	-	-	-	-	-	-
Total comprehensive income for the year	-	-	-	1,693	36,672	198,385	-	-	236,750
Transactions with owners of the company recorded directly in equity	-	-	-	-	-	(57,014)	(285,069)	-	(342,083)
Final dividend for 2016 paid	-	-	-	-	-	(57,014)	-	-	(114,028)
Interim dividend for 2017 paid	-	-	-	-	-	(171,042)	171,042	-	-
Second Interim dividend for 2017 payable	-	-	-	-	-	(236,650)	(114,027)	-	(350,677)
Total distribution to owners of the company	228,055	40,594	5,517,443	4,340	94,073	1,008,786	171,042	-	7,064,333
At 30 September 2017	228,055	40,594	5,517,443	4,340	94,073	1,008,786	171,042	-	7,064,333

The above extract is based on the consolidated financial statements of Sasini PLC for the year ended 30th September 2017 as audited by KPMG Kenya upon which they issued an unqualified opinion and raised the Key Audit Matters relating to assumptions and judgments used by management in the areas summarized below:

- Adoption of amendments to IAS 41 Agriculture and IAS 16 Property, Plant and Equipment – bearer plants and restatement of comparative financial information.
- Valuation of biological assets – determining fair values and changes in fair value of biological assets.
- Assessment of and recognition of deferred tax arising from tax losses carried forward.
- Accounting for disposal of a subsidiary (Sasini Coffee House Limited) during the year.

Certifications

ISO 22000: 2005 Certified
Rainforest Alliance Certification
Flo Cert Certification

C.A.F.E. Practices
UTZ KAPEH Certification



STATEMENT OF FINANCIAL POSITION.	Group 30.09.2017	30.09.2016 Restated Ksh '000	30.09.2015 Restated Ksh '000	Company 30.09.2017	30.09.2016 Restated Ksh '000	30.09.2015 Restated Ksh '000
ASSETS	Ksh '000			Ksh '000		
NON-CURRENT ASSETS						
Property, plant and equipment	8,827,710	8,888,273	8,972,529	5,955,317	5,954,537	6,018,686
Capital Work-in-progress	188,688	58,724	33,358	71,808	57,179	-
Intangible Assets	4,871	7,275	8,393	3,660	5,541	5,855
Biological Assets	1,171,379	1,097,036	1,180,592	56,748	21,854	25,599
Prepaid leases - leasehold land	17,585	17,838	18,473	6,974	7,077	7,633
Investments in Subsidiary Companies	-	-	-	145,797	172,697	172,697
Available-for-sale financial assets	525	525	525	-	-	-
Deferred tax asset	97	26,192	77,070	-	-	-
	10,210,855	10,095,863	10,290,940	6,240,304	6,218,885	6,230,470
CURRENT ASSETS						
Inventories	284,214	364,524	341,362	73,426	94,723	96,595
Trade and Other receivables	997,224	456,078	510,106	541,917	140,863	205,944
Biological Assets	251,034	225,419	245,559	190,069	172,163	196,303
Amount due from related companies	18,005	2,397	1,209	141,547	328,450	31,429
Tax recoverable	27,817	7,307	-	30,393	-	-
Cash and Bank balances	1,406,876	1,954,551	1,200,514	524,718	797,943	317,023
	2,985,170	3,010,276	2,304,224	1,502,070	1,534,142	847,294
TOTAL ASSETS	13,196,025	13,106,139	12,595,164	7,742,374	7,753,027	7,077,764
EQUITY AND LIABILITIES						
Capital and reserves						
Share Capital	228,055	228,055	228,055	228,055	228,055	228,055
Non - Distributable Reserves	7,911,934	7,881,233	8,368,666	5,656,450	5,618,085	5,779,547
Distributable Reserves	2,869,801	2,931,517	2,200,450	1,179,828	1,323,526	686,917
	11,009,790	11,040,805	10,797,171	7,064,333	7,169,666	6,694,519
Non controlling Interest	306,087	320,800	346,780	-	-	-
Total equity	11,315,877	11,361,605	11,143,951	7,064,333	7,169,666	6,694,519
Non- current liabilities						
Deferred tax liability	894,847	941,723	766,687	366,227	361,273	190,160
Post employment benefits	281,360	232,488	216,814	22,327	21,847	15,113
	1,176,207	1,174,211	983,501	388,554	383,120	205,273
Current liabilities						
Bank loan	100,852	-	-	100,852	-	-
Post employment benefits	41,602	26,979	28,596	4,929	3,721	3,208
Amounts due to related companies	90	531	1,082	-	-	49,499
Trade and Other Payables	547,496	487,043	429,139	183,706	176,456	123,862
Tax payable	13,901	55,770	8,895	-	20,064	1,403
	703,941	570,323	467,712	289,487	200,241	177,972
TOTAL EQUITY AND LIABILITIES	13,196,025	13,106,139	12,595,164	7,742,374	7,753,027	7,077,764
CASHFLOW STATEMENT	Group 30.09.2017 Ksh '000	30.09.2016 Ksh '000		Company 30.09.2017 Ksh '000	30.09.2016 Ksh '000	
OPERATING ACTIVITIES						
Cash Flow Generated from Operations	73,899	615,584		(118,187)	(18,925)	-
Gratuity paid	(22,082)	(28,737)		(1,109)	(914)	-
Income taxes paid	(280,389)	(157,938)		(93,310)	(56,757)	-
Net cash flows (used in)/generated from operating activities	(228,572)	428,909		(212,606)	(76,596)	
INVESTING ACTIVITIES						
Purchase of Property, plant and equipment	(105,782)	(62,350)		(66,310)	(39,089)	-
Purchase of Intangible Assets	(866)	(1,740)		(553)	(1,740)	-
Purchase of biological assets	(703)	(16,322)		(412)	(6,487)	-
Purchase of capital Work in progress	(131,509)	(73,121)		(14,629)	(57,179)	-
Interest received	111,947	116,257		44,667	19,695	-
Proceeds on sale of property, plant and equipment	18,434	482,704		16,645	482,557	-
Dividend received from Subsidiary company	-	-		200,000	276,750	-
Proceeds on disposal of Subsidiary	41,171	-		42,000	-	-
Investment in Subsidiaries	-	-		(30,000)	-	-
Net cash flow (used in)/generated from investing activities	(67,308)	445,428		191,408	674,507	
FINANCING ACTIVITIES						
Interest paid	(10,547)	(3,028)		(10,536)	(2,973)	-
Proceeds from bank loans	455,329	-		455,329	-	-
Loans repayments	(356,674)	-		(356,674)	-	-
Dividend paid on ordinary shares	(342,083)	(114,028)		(342,083)	(114,028)	-
Net cash flow used in financing activities	(253,975)	(117,056)		(253,964)	(117,001)	
Net (Decrease) /increase in cash and cash equivalents	(549,855)	757,281		(275,162)	480,910	
Cash and cash equivalents at the beginning of the period	1,954,551	1,200,514		797,943	317,023	
Net foreign exchange rate gains /(losses)	2,180	(3,244)		1,937	10	
Cash and cash equivalents at the end of the period	1,406,876	1,954,551		524,718	797,943	